Intel Corporation (INTC)

Long-Term Conviction Report — Deep-Dive Mode

INTC | B-SM (Turnaround) | Price €55.36 ($61.99) — Nov 2, 2026 intraday, yfinance | Report date 2026-11-02

VERDICT — RED · Verdict Score 1.3 / 10

Overvalued (F-Score 39) | MoS Gate: NONE — above Bull | TRADE ONLY (Compounder 1.5/9) | AI Impact: MIXED

DCF Bear €6.72 ($7.52) / Base €19.47 ($21.80) / Bull €30.20 ($33.82) vs price €55.36 ($61.99): price is 2.8× Base and 1.8× Bull. A Recovery case (Intel back to its 2018 margins on ~$140B revenue) gives €39.81 ($44.58), still 28% below price. Priced for perfection after a 48% fall in a month.

⚠ WARNING:

- Estimate cuts: FY27 EPS $2.06 → $1.81 (−12.2% in 30 days); Q4 $0.43 → $0.25.
- Customer concentration: top three customers 43% of 2025 revenue (45% 2024, 40% 2023); top five not disclosed.

Main risks:

- Valuation: price = Base only at a 6.05% WACC (house 10.28%), = Bull at 7.5%. Price needs a ~37% steady NOPLAT margin on ~$140B revenue, above Intel's best-ever years.
- Foundry binary: external foundry revenue $411M in Q3 (2.5% of revenue; mostly a non-recurring contract). No named 14A customer. Foundry lost $1.85B in the quarter. CFO: 2027 an investment year with no positive FCF.
- PC downturn: Intel sees PC units −12% in 2026 and −10% in 2027 (memory prices). Client volume −14% YoY in Q3. Q4 gross-margin guide 38.0% vs 44.1% in Q3.
- Dilution: diluted shares 4,531M → 5,307M (+17% YoY); $22.6B equity raised in 2026; 66M contingent escrow shares; 241M government warrants at $20 if foundry ownership < 51%.
- Supply: substrate and memory shortages into 2027 cap DCAI shipments; $5.3–6.1B of new substrate commitments ($3.3B by end-2027).

Personal analysis, not financial advice. DCF values are illustrative scenario modelling, not price targets. EUR at 1 USD = €0.8930 (macro report 2026-11-02).

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Summary and what changed since the 2026-09-22 report

Verdict: RED, score 1.3/10. TRADE ONLY business, price above the Bull case. The stock has fallen from $121.78 to €55.36 ($61.99), but it is still not cheap on cash flows. The Q3 beat (revenue +21%, DCAI +78%) was overshadowed by a Q4 guide of $15.5B revenue and $0.25 EPS (Street ~$17B / $0.43), a 38% gross margin, PC units −10% in 2027 and a 2027 with no positive free cash flow. The September report was written before the new rules and left several inputs blank. This one is rebuilt from the FY2025 10-K and the Q3 2026 10-Q.

Item	2026-09-22 report	This report	Why it changed
Price	$121.78	€55.36 ($61.99)	−49%: Q4 guide reset (Oct 30: −28.6%, worst day since 1974)
WACC	14.0% (raw β 2.19)	10.28% house (β 1.4); 14.3% with raw β 2.43	House beta rule
Bear / Base / Bull	~$35 / ~$95 / ~$210 (illustrative, not modelled)	$7.52 / $21.8 / $33.82 (FCFF model, consensus-anchored)	Explicit FCFF with 2027 capex; NCI, escrow and legal items deducted
MoS Gate	NONE (between Base and Bull)	NONE (above Bull)	Proper model; Q4 guide
Compounder	TRADE ONLY (1/9)	TRADE ONLY (1.5/9)	Goodwill criterion now scored (pass)
Flag	not graded	RED 1.3/10	Verdict Score rule; 2 Default Warnings
Shares (diluted)	~5,043M + Aug raise [EST]	5,307M Q3 diluted + 66M contingent escrow = 5,373M	10-Q
Net debt	~$20.8B	Net cash $3.9B (cash + ST inv $54.0B vs debt $50.1B)	$22.6B equity raise; $13B new term debt

0. Recent Context

⚠ DEFAULT WARNINGS TRIGGERED

- **Estimate cuts:** FY2027 consensus EPS $2.06 (30 days ago) → $1.81 (−12.2%; −14.9% vs 7 days ago). Q4 2026 $0.43 → $0.25. Cut after the Oct 29 guide.
- **Customer concentration:** top three customers 43% of revenue in 2025 (45% in 2024, 40% in 2023; 10-K). Names and the top-five share are not disclosed. With three at 43%, top five ≥ 50% is near-certain (inference). Mostly OEM purchase orders, plus $1.7B of deposits under 2026 long-term arrangements.
- Not triggered: margins (GAAP gross 38.2% → 36.1% → 39.4% → 40.4% → 43.0%, Q3 2025 → Q3 2026; operating 5.0% → 4.0% → 6.9% → 12.2% → 15.3%). The Q4 guide of 37.1% GAAP is one step down, not three. Cash conversion: 9-month OCF $13.2B vs $5.4B a year ago.

Last reported quarter: Q3 2026 (ended Sept 26; reported Oct 29)

Metric	Q3 2026	Q3 2025	Change
Revenue	$16.51B	$13.65B	+21%
Gross margin GAAP / non-GAAP	43.0% / 44.1%	38.2% / 40.0%	+4.8 / +4.1 pt
Operating margin GAAP / non-GAAP	15.3% / 19.6%	5.0% / 11.2%	+10.3 / +8.4 pt
EPS GAAP / non-GAAP	$0.60 / $0.52	$0.90 / $0.23	GAAP includes $1.0B escrow mark-to-market gain
OCF / gross capex / adjusted FCF	$5.08B / $4.22B / $1.64B	$2.55B / $2.96B / $0.90B	Adjusted FCF includes $0.85B partner contributions
DCAI revenue / op. margin	$7.32B / 41.5%	$4.12B / 23.4%	+78%; server ASP +54%, volume +10%
CCPG (client) revenue / op. margin	$8.10B / 28.2%	$8.54B / 31.6%	−5%; client volume −14%, ASP +9%
Intel Foundry revenue / op. income	$6.70B / −$1.85B	$4.24B / −$2.32B	External revenue $411M (non-recurring contract)

Q4 2026 guidance: revenue $15.0–16.0B (mid −6% QoQ), gross margin 37.1% GAAP / 38.0% non-GAAP, EPS $0.10 GAAP / $0.25 non-GAAP. CFO: 'PC slowdown continuing at least through the first half of next year.' 2026 gross capex ~$20B; 2027 gross capex expected to 'rise strongly'; 2027 an investment year without positive FCF (call, per Motley Fool / Yahoo summaries).

Filings — what they add (FY2025 10-K filed 2026-01-23; Q3 2026 10-Q filed 2026-10-30)

Item	Filing figure	Why it matters
Geographic mix (billing location, 10-K)	FY25: U.S. $15.76B (29.8%), China $12.69B (24.0%), Singapore $9.54B (18.0%), Taiwan $7.67B (14.5%), other $7.20B (13.6%). China was 29.3% in FY24. 70% of revenue is outside the U.S.	Risk factor: the U.S. government as a 9.9% holder 'may adversely impact' non-U.S. sales
Segments (10-Q, Q3)	CCPG $8.10B (op $2.29B); DCAI $7.32B (op $3.04B); Foundry $6.70B (op −$1.85B; $6.29B intersegment); All other $0.69B; corporate unallocated −$1.06B	Intel Products earn ~35% operating margin; foundry and corporate costs absorb most of it

Customer concentration (10-K)	Top three customers 43% (2025), 45% (2024), 40% (2023)	Default Warning; individual names not disclosed this year
Backlog / deposits	Long-term customer arrangements with $1.7B of deposits (Q1 2026); $1.2B of customer deposits in other long-term liabilities. No RPO figure in the extracted sections.	First sign of take-or-pay style contracts; small vs revenue
Debt and debt-like items	Debt $50.1B; non-controlling interests $16.6B (Arizona SCIP 49% Brookfield; Mobileye 24% public; IMS); legal accruals $1.0B VLSI + $0.31B EC fine	Deducted in Step 5
Ireland SCIP	Reacquired Apollo's 49% for $14.2B cash on Apr 8, 2026 (partner distributions $14.4B in 9M)	Removes a profit-sharing partner on Fab 34, paid with the equity raise
U.S. government agreement	132M escrowed shares not yet released (66M contingent); escrow derivative liability $13.7B (share-settled); warrants for 241M shares at $20 exercisable only if Intel owns < 51% of foundry	Dilution and a poison pill against a foundry spin-off
Mark-to-market and impairment	9M 2026: escrow mark-to-market loss $12.6B (Q3 gain $1.0B); Mobileye goodwill impairment $3.9B (Q1)	Why GAAP net income is −$11.6B for 9M while operations improved
Legal (10-Q)	VLSI patent litigation (accrued $1.0B; past jury awards $2.18B and $949M); EC competition fine ($312M accrued); consumer class actions; securities class action (May 2024, segment reporting); derivative suits incl. Mar 2026 suit against directors and DOC over the government agreement	VLSI is the only item management flags as potentially material
Risk factors stressed (10-K Item 1A)	1) competition (AMD, Arm-based, Nvidia GPUs taking data-center spend); 2) limited foundry experience vs TSMC/Samsung; 3) 14A and fab investments may not earn a return; 4) U.S. government stake; 5) customer concentration; 6) supply chain (substrates, memory); 7) China / export controls; 8) Israel and Taiwan geopolitics	Feed the Bear case and RSK-1
Capital return / issuance	No dividend (suspended 2024), no buyback. 9M 2026: $22.6B public equity offering; $13B new term debt,	Self-funding criterion fails

	$9B repaid	
Working capital	Inventory $13.07B vs $11.62B at Dec 2025 (+12.5%) while revenue ran +21% YoY; $1.2B supplier prepayments in 2026; new substrate deals $5.3–6.1B (~$3.3B paid by end-2027)	Cash tied up to secure supply
Workforce	Headcount table not extracted; 2025 Restructuring Plan cut layers and staff ($4.3B restructuring and other charges in 9M 2026 incl. $3.9B impairment)	Unionisation not found in the 10-K → MGT-7 ?

Recent news (Sept 22 – Nov 2, 2026)

Date	Event	Read
Aug 2026	$22.6B net public equity offering; CEO Lip-Bu Tan bought ~$10M at $95 (prior report)	Management alignment vs heavy dilution
Sept–Oct	Stock peaks: 52-week closing high $140.94	Momentum on foundry hopes
Oct	14A 0.9 PDK released; 1.0 PDK targeted Q1 2027. Management: customer decisions H2 2026 into H1 2027; won't name customers	The binary event is still ahead
Oct 29	Q3 beat; Q4 guide $15–16B / $0.25 vs ~$17B / $0.43; PC units −12% (2026), −10% (2027)	Earnings reset
Oct 30	−28.6% to $65.76, worst day since 1974. Downgrades: BofA (Neutral; PT $145 → $100), Roth (Neutral; $120 → $70), Seaport, DA Davidson. PT cuts: Bernstein $75, UBS $80, Wells Fargo $80, Barclays $75; KeyBanc $140 (OW); New Street upgrade to Buy	Consensus mean PT now $93.88 (43); low $70, high $160
Oct 30	Benzinga: analysts cite misallocation of manufacturing capacity in Q3 (supply sent where demand was weaker)	Execution question on supply planning
Nov 2	Further −4.3%; $61.99 intraday. −48% in 21 sessions	Below MA20 $93.68, MA50 $100.54, MA200 $86.93

Macro overlay — today's /macro and /scan (2026-11-02)

- **SHORT bias**, SMH Stage 4 confirmed, semis lagged an ISM-led bounce (INTC −4.6% at the macro snapshot, −30.6% in 5 days). The macro report lists Intel's PC-unit warning among the top downgrades of the week and as the 'soft spot' in an otherwise strong growth print.
- Today's /scan short screen flagged INTC 'earnings_gap LOW (RSI 20) — watch only'. It is oversold for a trade, but not set up on either side.
- **Memory squeeze link:** the same memory shortage that lifted Micron's margins (see the MU report) is cutting PC demand. Intel's 10-Q says its ability to mitigate memory constraints 'is very limited'. The two names sit on opposite sides of one trade.

1. Business Overview

Segment (Q3 2026, 10-Q)	What it does	Revenue	Op. income / margin	YoY revenue
CCPG — Client Computing & Physical AI	PC CPUs (Core Ultra Series 3 on 18A), edge	$8.10B	$2.29B / 28.2%	−5%
DCAI — Data Center & AI	Xeon server CPUs, GPU D-series, custom silicon	$7.32B	$3.04B / 41.5%	+78%
Intel Foundry	Wafers and packaging, ~94% for Intel Products; external $411M	$6.70B	−$1.85B	+58%
All Other	Mobileye (76% owned), IMS; Altera deconsolidated Sept 2025 (49% retained)	$0.69B	$0.18B	−30%
Corporate unallocated / eliminations	SBC, restructuring; intersegment	−$6.29B	−$1.13B	
Total		$16.51B	$2.52B / 15.3%	+21%

Principal markets: OEMs/ODMs (top three = 43% of revenue), hyperscalers (server volume +10% on hyperscaler demand), China 24% of FY25 revenue. Competitors: AMD (x86 client and server), Arm-based designs (Apple, Qualcomm, hyperscaler in-house CPUs), Nvidia/AMD GPUs for AI; TSMC and Samsung in foundry. TAM: no unified company figure found. No penetration figure computed. External foundry revenue ($411M/quarter) is a rounding error against TSMC.

2. Routing

B-SM (Semiconductors & AI infrastructure), valued as a **Lynch Turnaround** with an FCFF DCF. Never-blend rule: foundry external revenue is 2.5% of consolidated revenue, below the ~25% threshold, so a formal SOTP is not

required. An illustrative Products-vs-Foundry split is shown in Step 5 because the foundry's losses are the swing factor.

3. Categorization (Lynch)

Turnaround. Revenue FY2021 $79.0B → FY2025 $52.9B (−33%); GAAP operating margin FY2022 3.7% → FY2024 −8.9% → TTM 10.0%. The fall was structural (lost process leadership, share loss to AMD and Arm), not a price cycle, so the Through-Cycle method does not apply. Lynch's turnaround test is cash vs debt: net cash $3.9B after the 2026 raise, so survival is not the issue. Dilution is. PEG n/m (FY26 EPS growth +254% off $0.42).

4. Earnings Quality (Penman)

Check	Figure	Read
Accrual ratio TTM (NI − OCF) / avg assets	(−$12.05B − $17.47B) / $220.0B = −13.4%	Negative because NI carries non-cash charges (escrow mark-to-market $12.6B, impairment $3.9B), not a quality signal
Non-GAAP NI vs OCF (Q3)	Non-GAAP NI $2.8B vs OCF $5.08B	Non-GAAP earnings are cash-backed
GAAP vs non-GAAP gap	Q3 GAAP EPS $0.60 vs non-GAAP $0.52 (escrow gain); 9M GAAP heavily negative	GAAP is unusable as an earnings anchor while the escrow marks to market
Persistent earnings	Non-GAAP operating income Q3 $3.23B (19.6%); Q4 guide implies ~$1.6B	Persistence not yet shown: one strong quarter then a guided step-down
RNOA vs leverage	Net cash $3.9B; Debt/Equity 0.44	ROE not leverage-driven; currently negative on non-cash items
Dilution	Diluted shares 4,531M (Q3 2025) → 5,307M (Q3 2026), +17.1%	Fisher #13 red flag
Inventory vs revenue	Inventory +12.5% YTD vs revenue +21% YoY	No build-up flag
Margin trend (GAAP gross, 5 quarters)	38.2% → 36.1% → 39.4% → 40.4% → 43.0%; Q4 guide 37.1%	Improving, guided to reverse in Q4

5. Valuation — DCF (Koller) + Multiples Ladder

WACC

Input	Value	Note

Risk-free rate	4.88%	10Y UST 4.884%, macro_report_2026-11-02
ERP / beta	4.5% / 1.4 (house)	Raw beta 2.43 clipped to 1.4; override shown alongside
Cost of equity	11.18% (override 15.8%)	
Cost of debt after tax	~4.25%	~5% pre-tax, 15% tax
E/V / D/V	86.9% / 13.1%	Market cap $333B (5,373M × $61.99) vs debt $50.1B
WACC	10.28% (override 14.31%)	Stress +3 pts: 13.28%

Legacy / debt-like items (equity bridge)

Item	Amount	Treatment
Cash + short-term investments	+$54.0B	Added
Debt (short + long)	−$50.1B	Deducted → net cash +$3.9B
Equity investments (incl. Altera 49%)	+$8.8B	Added (non-operating)
Non-controlling interests (Arizona SCIP, Mobileye, IMS)	−$16.6B (book)	Deducted
Customer deposits (long-term arrangements)	−$1.7B	Deducted (returnable)
Legal accruals (VLSI, EC)	−$1.3B	Deducted
Escrowed shares liability $13.7B	Share-settled	Not deducted; the 66M contingent shares are added to the share count
Substrate commitments $5.3–6.1B	Operating	Inside capex / working capital
Government warrants (241M at $20)	Contingent on a foundry spin-off	Tail risk; not in the share count
Net bridge	**−$6.9B**	÷ 5,373M diluted shares

Consensus reconciliation

Year	Consensus EPS (non-GAAP)	Consensus revenue	Base case	Source
FY2026	$1.49 (35; $1.45–1.52)	$61.85B (45)	= consensus (starting point)	yfinance Nov 2
FY2027	$1.81 (45; $1.27–2.84)	$69.35B (46)	Revenue $69.3B; NOPLAT margin 14% ≈	yfinance Nov 2

			consensus EPS	
Check: Q4 guide mid × 4	$0.25 × 4 = $1.00	$62.0B	FY27 consensus +12% above run rate	8-K

Consensus sanity check

1. **FY2027 rebuild** (revenue $66–70B, non-GAAP gross margin 40–43% vs Q3 44.1% and Q4 guide 38%, non-GAAP opex $16.5B ($4.1B/quarter), tax 11%, ~$0.5B to non-controlling interests, 5,373M shares):

Revenue \ gross margin	40%	43%
$66B	$1.55	$1.87
$68B	$1.68	$2.02
$70B	$1.81	$2.16
Consensus	$1.81 (top of revenue range, low margin)	

Consensus sits inside the rebuild range, so **Base FY27 = consensus**. 2. **Run rate vs growth:** Q4 × 4 = $62.0B. FY27 consensus is +12%. With PC units −10% (client ~$32B → ~−$2.6B), DCAI ($29B run rate) must grow ~+35% under a supply constraint: possible, at the optimistic end. 3. **Dispersion:** FY27 EPS high/low 2.2×, so analysts disagree on the turnaround, not the arithmetic. No FY28+ consensus visible; the explicit years beyond FY27 are model assumptions. 4. **Revisions: −12.2% in 30 days (Default Warning).** 5. **Haircut:** Base with FY27 at 80% of consensus = $21.47 vs $21.80. The gate is NONE either way: the verdict does not depend on consensus.

Scenarios — FCFF, explicit 2027–2036

FCFF = NOPLAT − net investment (capex − D&A + working capital). Net investment for 2027–30 is set explicitly from the capex guidance (2027 gross capex 'up strongly' from ~$20B, D&A ~$13B → FCF ≈ −$4B in the Base, matching the CFO's 'no positive FCF'); thereafter growth ÷ RONIC. Terminal: Koller value-driver, g 3%. Discounted from Nov 2, 2026.

Scenario	Revenue 2027 → 2036	NOPLAT margin (steady)	Net investment 2027–30 ($B)	RONIC	TV %	Value @ 10.28%	@ β 2.43 (14.3%)	@ +3 pts
Bear	$64B → $81B	8% → 12%	16 / 10 / 4 / 2	10.3% (= WACC)	76%	€6.72 ($7.52)	$2.98	$3.79
Base	$69B → $112B	14% → 18%	14 / 11 / 6 / 3	12%	64%	€19.47 ($21.80)	$11.81	$13.58
Bull	$71B → $140B	15% → 22%	15 / 13 / 9 / 6	15%	69%	€30.20 ($33.82)	$18.01	$20.79
Recovery (2018 economics)	$71B → $140B	15% → 27%	15 / 13 / 9 / 6	18%	67%	€39.81 ($44.58)	$24.21	$27.81

Bear (named risks): 1) 14A wins no committed external customer by mid-2027. Intel scales back the build-out after 2028 (the 10-K warns 14A investment may not be recovered), but 2027–28 capex is already committed. 2) PC units −10% in 2027 per Intel, with AMD/Arm share gains capping client margins. Revenue flat in 2028, NOPLAT margin 8–12%, no value creation on new capital. **Base:** consensus FY27, DCAI-led growth fading to 3%, NOPLAT margin to 18% (≈ 20% operating, the Q3 non-GAAP level), foundry near break-even by 2030. **Bull:** 14A lands a major customer, foundry becomes profitable, revenue doubles by 2036 at a 22% NOPLAT margin. **Recovery:** Intel regains its 2018 economics (~33% operating margin) on $140B of revenue.

MoS Gate: NONE — price above Bull. Price €55.36 ($61.99) = 8.2× Bear, 2.84× Base, 1.83× Bull, 1.39× Recovery (price date Nov 2, 2026). Price equals the Base only at a 6.05% WACC, the Bull at 7.5% and the Recovery at 8.6%. Every value is below the house floor of 7% except the Recovery case.

Through-Cycle Valuation

Not applied: Intel is a Lynch Turnaround. The margin fall (2021 ~24% operating → 2024 −8.9%) was structural loss of process leadership, not a pricing cycle (see Step 3).

Products vs Foundry split (illustrative)

Piece	Basis	Value
Intel Products + All Other − corporate	Q3 op. income ($5.32B + $0.18B − $1.06B) × 4 × (1 − 11%) = $15.8B NOPAT × peer median fwd P/E 16.9×	$267.6B
Foundry at break-even	0	→ equity $260.7B = $48.52/share
Foundry at Q3 run-rate loss	−$1.85B × 4 × 0.89 × 16.9	−$111.5B → $27.77/share

Even capitalising Products at Q3's peak DCAI pricing and treating the foundry as free, the split gives $48.52, 22% below price. The market is paying for the foundry as a positive asset before it has an external customer.

Multiples Ladder

Anchor	Multiple	Value per share
Bear DCF	4.2× FY27 EPS; EV/EBITDA27 2.5×	€6.72 ($7.52)
Base DCF	12.0×; 5.2×	€19.47 ($21.80)
GlobalFoundries fwd P/E 16.1× × FY27 EPS $1.81	16.1×	€26.02 ($29.14)
Peer median fwd P/E 16.9× (AMD, QCOM, TXN, NXPI, ADI, NVDA, TSM, GFS; yfinance next-FY)	16.9×	€27.32 ($30.59)
Bull DCF	18.7×; 7.5×	€30.20 ($33.82)
Recovery DCF	24.6×; 9.9×	€39.81 ($44.58)
Products-only split, foundry free		€43.33 ($48.52)

AMD fwd P/E 30.2× × FY27 EPS	30.2×	€48.81 ($54.66)
Price today (Nov 2)	**34.2× FY27; 41.7× FY26; EV/EBITDA27 14.2×**	**€55.36 ($61.99)**
Analyst mean target (43)		€83.83 ($93.88)

Read: price is at the top of every earnings-based anchor. It sits above AMD's multiple (a share-gainer with no foundry losses), and only analyst targets are higher. The Base DCF (12× FY27 EPS) sits below the peer median. One-line reason: FY27 earnings do not convert to cash (net investment ~$14B, FCF negative), while the peers convert most of theirs. Own 5-year average multiples: not comparable (loss years; Altera/Mobileye changes).

Capex-adjusted multiple	Value (TTM)
P/E TTM (GAAP)	n/m (loss)
P/operating cash flow	18.8× (OCF $17.5B)
P/FCF (OCF − gross capex $13.9B)	92× (FCF $3.6B, yield 1.1%)
EV/EBITDA	17.8× (EBITDA $19.1B)
EV/(EBITDA − capex)	65×
FY27 FCF	negative (CFO)

Sensitivity (Benninga) — Base case

WACC \ g	2.0%	2.5%	3.0%	4.0%
8.28%	$30.8	$31.7	$32.7	$35.3
9.28%	$25.4	$25.8	$26.4	$27.6
10.28% (house)	$21.3	$21.5	**$21.8**	$22.4
11.28%	$18.2	$18.3	$18.4	$18.6
12.28%	$15.6	$15.7	$15.7	$15.8

Steady NOPLAT margin \ growth (× Base path)	0.7×	1.0×	1.3×
12%	$12.7	$14.8	$17.0
15%	$15.9	$18.3	$20.9
18%	$19.0	**$21.8**	$24.9
21%	$22.1	$25.4	$28.9

24%	$25.3	$28.9	$32.8

No cell in either grid reaches the price.

6. Mauboussin — Price-Implied Expectations

WACC	Steady NOPLAT margin the price needs (Bull growth: revenue $140B by 2036, RONIC 20%)	vs Intel's history
9.28%	30%	≈ 2018 peak (NOPLAT ~28%)
10.28% (house)	37%	Above any Intel year
11.28%	44%	TSMC-like
14.31% (β 2.43)	69%	Implausible

What has to be true at the house WACC: revenue more than doubles by 2036 **and** Intel earns a ~37% NOPLAT margin (~42% operating) forever after. That is better than its own best years, achieved while running a leading-edge foundry that loses $7B a year today. On the Base growth path, the required margin is ~52%. This is Mauboussin's 'priced for perfection' zone (implied > 2× base rate).

Years of Consensus Priced In: P/E 41.7× FY26, 34.2× FY27 vs peer median 16.9×. FY27 EPS would need to reach $3.67 (2× consensus) for the multiple to reach the median. At +22% a year (the FY27 consensus growth rate) that is ~2031, more than 3 years out (thin margin of safety). FY27 EPS × 16.9× = $30.59, half the price: the price needs consensus beaten, not met. Revisions: falling (Default Warning).

Moat and CAP: no demonstrated technology or cost moat today (process lead lost; foundry loss-making). Real assets: the x86 software installed base (switching costs in client and server) and a policy-backed 'efficient scale' position as the only U.S. leading-edge logic manufacturer. CAP **0–3 years** on demonstrated returns (ROIC < WACC for 5 years), conditional on 14A external volume.

7. Fisher — Qualitative Checklist

- **#5/#6 Margins:** improving for four quarters (GAAP gross 36.1% → 43.0%) but guided back to 37% in Q4 on mix, PC weakness and input costs. Not yet durable.
- **#11 Competitive edge:** server pricing power in a shortage (ASP +54%, demand > supply). Client losing volume (−14%) to AMD and Arm at a time of memory-driven PC weakness.
- **#13 Equity financing:** yes, decisively. Diluted shares +17% YoY; the $22.6B raise funded the $14.2B Apollo buy-back of Ireland SCIP and capex. 2027 is guided FCF-negative.
- **#14 Candour:** the Q4 guide and PC outlook were given plainly, and foundry customer names are withheld (industry norm). Benzinga reports analysts questioning Q3 capacity allocation.
- **#15 Integrity:** CEO bought ~$10M in the open market at $95 (Aug 2026), a strong alignment signal now underwater by ~35%. A derivative suit challenges the government agreement. No disqualifier.

8. Ilmanen — Factor Read

Factor	Read
Value	Absent: 34× FY27 EPS, P/FCF 92×, price above every DCF scenario
Quality	Absent / improving: ROIC < WACC for five years; operating margin positive only since Q2 2026
Momentum	Negative short-term (−48% in 1 month, below MA20/50/200); 12-month +54%
Low beta	Absent: raw beta 2.43

No factor tailwind of any kind. Ilmanen would call this a single-factor (momentum) story whose factor has just reversed.

9. Quality Compounder Screen (Framework 8)

Criterion	Result	Evidence
ROIC 5-yr avg > 15%	FAIL	Operating losses FY2024–25; TTM op. margin 10%
ROIC trend	PASS (borderline — ½)	Operating margin −8.9% (FY24) → 15.3% (Q3 26); Q4 guided down
Operating margin > 15%	FAIL	TTM GAAP 10.0% (Q3 alone 15.3%)
FCF / NI > 80%	FAIL	TTM NI negative; FCF $3.6B; FY27 FCF negative
Capex / revenue < 10%	FAIL	23% TTM gross; 2027 'up strongly'
Self-funded	FAIL	$22.6B equity raise 2026; diluted shares +17% YoY
Management ownership	FAIL	Professional CEO; ~$10M open-market buy is < 0.5% of company value threshold; 13.9% 'insider' holding is mostly the U.S. government
Buybacks at/below value	FAIL	None; net issuer
Goodwill < 40% of assets	PASS	$20.5B / $228.6B = 9.0%

1.5/9 → TRADE ONLY. Thorndike: capital allocation is turnaround triage. Equity is raised at whatever price the market offers ($95 in August), the Ireland SCIP minority was bought back for $14.2B, Altera 51% was sold, and fabs are funded with partners. No evidence yet that reinvestment earns more than WACC.

10. Sector Appendix — Semiconductors

Metric	Intel actual	Read
Gross margin (IDM)	43.0% Q3 GAAP; Q4 guide 37.1%	Between flag (< 35%) and strong (> 45%)
Book-to-bill	Not disclosed; DCAI demand > supply into 2027	Server positive, client negative
Inventory days	~127 (Q3 inventory $13.07B / annualised COGS)	Stable vs ~123–133 historically
AI / data-centre revenue %	DCAI 44% of Q3 revenue (+78% YoY)	Rising; CPU-led, not accelerator-led
Customer concentration	Top three 43% (2025)	Default Warning
Capex / revenue	23% TTM gross; 2027 higher with FCF negative	Near the > 30% capital-efficiency flag in 2027
External foundry revenue	$411M Q3 (2.5% of revenue); non-recurring	The thesis variable; not yet a business

11. Five-Year Ratio Trend Analysis

Fiscal years end late December. FY2021 not in the retrieved statements (revenue $79.0B from prior filings). TTM = Q4 2025–Q3 2026 at the Nov 2, 2026 price.

Metric	FY2022	FY2023	FY2024	FY2025	TTM @ current price
Revenue	$63.05B	$54.23B	$53.10B	$52.85B	$59.89B
Revenue growth	−20.2%	−14.0%	−2.1%	−0.5%	+13.3% vs FY25
Gross margin	42.6%	40.0%	32.7%	34.8%	39.9%
Operating margin	3.7%	0.1%	−8.9%	0.0%	10.0%
EBITDA margin	33.8%	20.7%	2.3%	27.2%	31.9%
Net margin	12.7%	3.1%	−35.3%	−0.5%	−20.1% (non-cash marks)
ROE	7.9%	1.6%	−18.9%	−0.2%	−10.5%
P/S	1.7×	3.9×	1.6×	3.2×	5.5×
P/B	1.0×	2.0×	0.9×	1.5×	2.9×
EV/EBITDA	5.6×	20.7×	n/m (95×)	12.3×	17.8×

Debt/Equity	0.41	0.47	0.50	0.41	0.44
Net cash / (net debt)	−$13.7B	−$24.2B	−$27.9B	−$9.2B	+$3.9B
FCF margin	−14.9%	−26.3%	−29.5%	−9.4%	+6.0%

Sector metric	**FY2022**	**FY2023**	**FY2024**	**FY2025**	**TTM**
Capex / revenue (gross)	39.4%	47.5%	45.1%	27.7%	23.2%
Inventory days	133	125	125	123	~127
Diluted shares	4,123M	4,212M	4,280M	4,530M	5,307M (Q3)
Top-three customers % revenue	n/a	40%	45%	43%	n/a
China % revenue (billing)	n/a	27.4%	29.3%	24.0%	n/a
External foundry revenue	—	—	—	small	$411M in Q3 alone

Interpretation: FY2022–24 is the turnaround's hole: margins fell to zero, FCF was −15% to −30% of revenue, and net debt reached $28B. TTM is genuinely better (operating margin 10%, FCF positive, net cash). But the price has moved further than the business. P/S went from 1.6× (FY24) to 5.5× and P/B from 0.9× to 2.9× on a margin recovery the Q4 guide partly reverses, while the share count rose 24% since FY2022 to pay for it.

12. Final Verdict

⚠ DEFAULT WARNINGS TRIGGERED

- **Estimate cuts:** FY2027 consensus EPS $2.06 (30 days ago) → $1.81 (−12.2%; −14.9% vs 7 days ago). Q4 2026 $0.43 → $0.25. Cut after the Oct 29 guide.
- **Customer concentration:** top three customers 43% of revenue in 2025 (45% in 2024, 40% in 2023; 10-K). Names and the top-five share are not disclosed. With three at 43%, top five ≥ 50% is near-certain (inference). Mostly OEM purchase orders, plus $1.7B of deposits under 2026 long-term arrangements.

TICKER	Track	Category	F-Score	F-Rating	DCF Bear-Base-Bull	MoS Gate	Compounder	AI Impact	Horizon	Thesis Invalidation
INTC	B-SM	Turnaround	39 (V 15 / Q 35 / G 55)	Overvalued	$7.52 / $21.80 / $33.82 (€6.72 / €19.47 /	NONE (above Bull)	TRADE ONLY (1.5/9)	MIXED	N/A (TRADE ONLY); re-test ≤ Bull or on	Bull thesis breaks if: no committed 14A external customer by

		€30.20), WACC 10.28%		a named 14A customer	mid-2027; another equity raise without a customer milestone; foundry losses > $1.5B/quarter through 2027; FY27 consensus EPS < $1.50; PC units worse than −10% in 2027

Verdict Score component	Score	Weight	Weighted	Why
DCF / MoS Gate	0	3	0.0	Price above Bull (and above Recovery)
Business quality	1.7	3	0.5	1.5/9
Relative value	0	2	0.0	Top of the earnings ladder; above AMD's multiple
Risks	4	2	0.8	Two Default Warnings (−3 each)
Total			**1.3 → RED**	Also RED by F-Rating Overvalued and TRADE ONLY (hard override: never GREEN)

Summary. Two Default Warnings are triggered: next-year estimates were cut 12% in 30 days, and three customers make up 43% of revenue. Neither sets the colour on its own: the price does, and the colour would be RED without them. Intel's operations are clearly better than a year ago: data center +78%, operating margin 15% in Q3, net cash after the raises. But the stock still prices a full turnaround plus a profitable foundry. At $61.99 it needs revenue to double and margins above Intel's best-ever years, while 2027 is guided FCF-negative and the external foundry business is $411M a quarter of mostly one-off revenue.

What has to be true: 14A wins one or more large committed external customers in the H2 2026–H1 2027 decision window, the foundry reaches break-even by ~2029, and Products margins hold near Q3 levels through a PC downturn. **The single data point that would most change the verdict** is a named 14A customer with committed volume and prepayments. It is the only event that moves value from the Base toward the Bull and Recovery cases. Even then, the price only clears the Bull case below ~$34 (€30).

Macro timing: SHORT bias, SMH Stage 4, INTC RSI ~20 after −48% in a month. Oversold for a trade, not cheap for an investment. Not a long-term buy. If you want exposure to a 14A outcome, wait for the customer announcement rather than buying the guide-down.

13. Investment Checklist Scorecard

Side output — not a gate; it does not change the Step 12 verdict.

Categoria	✓	✗	?	N/A	Score
Pre-investimento	5	4	1	0	5/10
Business Modeled Economics	7	0	0	0	7/7
Unit Economics e KPI	3	3	0	1	3/7
Strategia e Risorse	6	2	2	0	6/10
Power Dynamics	8	1	0	0	8/9
Check dei Poteri	2	5	0	0	2/7
Valutazione	6	2	3	0	6/11
Opzionalità	2	2	1	0	2/5
Management e Governance	3	3	5	0	3/11
Rischi	4	4	1	0	4/9
Totale	46	26	13	1	**46/86**

Coverage = (✓ + ✗) / (86 − N/A) = 72/85 = 85%. The ? items cluster in Management e Governance and Valutazione (proxy, TAM, share): missing information, not a bad mark.

Pre-investimento

ID	Check	Mark	Evidence
PRE-1	Enough research	✓	FY25 10-K, Q3 10-Q, Q3 8-K, call summaries, consensus, peers
PRE-2	Bear case / pre-mortem	✓	Bear $7.52: no 14A customer + PC −10% (Step 5)
PRE-3	Key drivers understood	✓	Server ASP +54%, client volume −14%, foundry loss −$1.85B (Step 0)
PRE-4	Differentiated view vs market	✗	No evidence the market under-prices Intel; price above Bull

PRE-5	Favourable risk-reward	✗	Bull −45% from price; Bear −88%
PRE-6	Catalyst	✓	14A customer decisions H2 2026–H1 2027; 1.0 PDK Q1 2027
PRE-7	Disconfirming information known	✓	Invalidation list (Step 12)
PRE-8	Why this vs existing holdings	?	Not held; portfolio question
PRE-9	Buy more after −50%	✗	−50% ≈ $31, still above Base $21.80
PRE-10	Not a value trap / turnaround	✗	Turnaround by category (Step 3)

Business Model ed Economics

ID	Check	Mark	Evidence
BM-1	Target client & value proposition	✓	OEMs/ODMs + hyperscalers; DCAI 44% of Q3 revenue
BM-2	Revenue model & mix	✓	10-Q segment note: CCPG / DCAI / Foundry / All Other
BM-3	Granular cost structure	✓	10-Q segment cost lines; foundry intersegment pricing
BM-4	Operating leverage	✓	Op. margin −8.9% (FY24) → 15.3% (Q3 26)
BM-5	Go-to-market	✓	OEM channel + direct hyperscaler; new CSO (Q3)
BM-6	Unexploited pricing power	✓	Server pricing actions in shortage (10-Q)
BM-7	Strategic partners	✓	U.S. government, Nvidia $5B, SoftBank, Oracle OCI, ASML High-NA

Unit Economics e KPI

ID	Check	Mark	Evidence
UE-1	Unit economics good, not temporary	✗	Gross margin 43% → 38% guide; below IDM 'strong'
UE-2	3–4 key KPIs tracked	✓	ASP, volume, gross margin, external foundry revenue
UE-3	Cash cycle understood	✓	OCF $17.5B TTM; partner contributions; supplier prepayments
UE-4	ROIC high and can still grow	✗	ROIC < WACC for five years
UE-5	Capital intensity	✗	Capex 23% TTM; 2027 FCF negative
UE-6	Incremental margins	✓	Q3 YoY: +$1.84B op. income on +$2.86B revenue = 64%
UE-7	Gross profit vs marketing	N/A	Not marketing-driven

Strategia e Risorse

ID	Check	Mark	Evidence
STR-1	Strategy understood	✓	Products + foundry (18A, 14A), supply expansion
STR-2	Value chain mapped	✓	Foundry → Products → OEMs/hyperscalers
STR-3	Value-chain evolution	?	Arm and custom silicon shift not quantified
STR-4	Vertical integration	✓	IDM: own fabs U.S., Ireland, Israel (10-K PP&E)
STR-5	Key success factors	✓	Node execution, substrate supply, 14A customers
STR-6	Oligopoly structure	✓	x86 duopoly; three leading-edge foundries
STR-7	Rational past conduct	✗	Lost process lead; EC fine; FY22–24 overbuild
STR-8	Barriers to entry	✓	Leading-edge fabs $20B+; x86 licensing
STR-9	Five forces favourable	✗	Top-three buyers 43%; Arm substitution; TSMC rivalry
STR-10	Highest-value resources / synergies	?	Products–foundry synergy unproven

Power Dynamics

ID	Check	Mark	Evidence
PD-1	Strategic inflection point	✓	Foundry pivot; U.S. government stake
PD-2	Company phase	✓	Decline → turnaround
PD-3	Competitors segmented	✓	AMD, Arm-based, Nvidia; TSMC, Samsung
PD-4	Why not a commodity	✓	x86 ISA + software ecosystem
PD-5	Powers analysed	✓	Switching cost, brand (POW)
PD-6	Main Power identified	✓	x86 installed-base switching costs
PD-7	Cost & pricing vs competitors	✗	Foundry loses $1.85B/quarter vs TSMC ~59% op. margin
PD-8	Moat incl. contrary data	✓	Contrary: AMD share, Arm, foundry losses
PD-9	Multi-business strategy	✓	Mobileye, Altera 49%, IMS, quantum (Classiq)

Check dei Poteri

ID	Check	Mark	Evidence
POW-1	Unique resources	✗	None demonstrated

POW-2	Counter-positioning	✗	None
POW-3	Switching cost	✓	x86 software installed base
POW-4	Network economies	✗	None
POW-5	Scale economies	✗	Manufacturing scale now TSMC's
POW-6	Branding	✓	Intel / Core / Xeon brands
POW-7	Process power	✗	Process lead lost

Valutazione

ID	Check	Mark	Evidence
VAL-1	TAM analysed	?	No company TAM; not computed
VAL-2	Market share	?	x86 share not sourced this pass
VAL-3	Implications of assumptions (invert)	✓	Price needs ~37% NOPLAT margin (Step 6)
VAL-4	Base rates checked	✓	2018 peak economics = Recovery case
VAL-5	Organic growth	✓	DCAI growth organic; Classiq small
VAL-6	Why revenue grows / falls	✓	Server ASP and supply vs PC units
VAL-7	Costs in detail and evolution	?	Q4 gross-margin bridge not disclosed in filings
VAL-8	Working capital / capex can improve	✗	Capex rising; substrate prepayments $5.3–6.1B
VAL-9	Intrinsic value estimated	✓	$7.52 / $21.80 / $33.82 (+ Recovery $44.58)
VAL-10	No common errors	✓	NCI, legal, deposits deducted; escrow shares counted
VAL-11	Possible, plausible, probable	✗	Required margins possible, not plausible

Opzionalità

ID	Check	Mark	Evidence
OPT-1	Resources extend to new businesses	✓	Foundry, GPU D-series, quantum
OPT-2	Economics of similar products	?	Not researched
OPT-3	Differentiated competence for launches	✗	AI accelerators lag Nvidia/AMD
OPT-4	Unreported drivers	✓	14A pipeline; Mobileye stake value

OPT-5	Traction of options	✗	External foundry $411M, non-recurring

Management e Governance

ID	Check	Mark	Evidence
MGT-1	Organisation & key roles	✓	CEO Tan, CFO Zinsner, new CSO Jarnac
MGT-2	DEF 14A incentives	?	Proxy (Mar 2026) not read this pass
MGT-3	Clean governance, stable top team	✗	CEO change 2025; government 9.9% holder; derivative suits
MGT-4	Founder / aligned incentives	✓	CEO ~$10M open-market buy at $95
MGT-5	Interviews / integrity	?	Not researched
MGT-6	Culture (Glassdoor/Reddit)	?	Not researched
MGT-7	Unionised workforce	?	Not found in 10-K
MGT-8	No short-termism	✓	Committed to 14A and capex through an FCF-negative 2027
MGT-9	Operational excellence	✗	Analysts flag Q3 capacity misallocation; Q4 margin reset
MGT-10	Takes innovative rivals seriously	?	No evidence either way
MGT-11	Value-creating capital allocation	✗	Equity issued at ~$95; ROIC < WACC

Rischi

ID	Check	Mark	Evidence
RSK-1	Risk factors read	✓	10-K Item 1A (Step 0)
RSK-2	No excessive concentration	✗	Top three 43% (10-K)
RSK-3	Cyclicality understood (not cyclical)	✗	PC units −12% / −10%
RSK-4	No accounting red flags	✓	Non-GAAP reconciles to cash; escrow marks disclosed (10-Q)
RSK-5	Leverage manageable	✓	Net cash $3.9B
RSK-6	Goodwill / failed acquisitions	✗	Mobileye goodwill impairment $3.9B (10-Q)
RSK-7	Not a fad	✓	x86 incumbent
RSK-8	No technical debt	✗	Lost node lead; 14A still pre-production
RSK-9	Still nimble	?	Restructuring under way; too early

Weakest category (most ✗, excluding Powers): Pre-investimento (4 ✗), Rischi (4 ✗).

✗ in PRE and RSK: PRE-4, PRE-5, PRE-9, PRE-10, RSK-2, RSK-3, RSK-6, RSK-8.

Powers present: POW-3 Switching cost; POW-6 Branding.